



Big, but not Whole

India could become an economic superpower by 2047. Yet, China's experience should teach us that size isn't everything; there are other factors we need to improve on as well

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IT IS AUGUST 15, 2047, and India has turned 100. A hundred years of giant strides as an economic destination. An \$18-trillion economy, just a whisker away from overtaking China as the world's second-largest. The third-largest stock market in the world with the Sensex at 1 million. The world's largest democracy and an economic superpower.

This is no pipe dream. Nor does it assume annual growth at double digits to reach this summit. Modest compounding and avoiding major policy mistakes gets us there in the next 25 years. The headline numbers are all set to be staggering on our hundredth anniversary; it is the stuff below that makes one pause.

Despite such phenomenal growth at an aggregate level, India may still not be a developed nation by then. Pollution, climate change and overpopulation may have rendered many of our top cities uninhabitable. Economic inequality and communal disharmony may have shattered the

social equilibrium, making India intrinsically unsafe. A steady outward migration to countries with better living standards may have left us deprived of the best talent. And, just like in China, whose enormous economic size never succeeded in making it a country its citizens enjoyed living in, India too may have attained size but fallen short of what it takes to become a country that is developed, in the true sense of the term. Gross domestic product (GDP) is good, but it cannot paper over all cracks. We need to proceed with caution.

The numbers first. While India's GDP may indeed have soared to the \$18-20 trillion range by then, our per capita income may still be well short of the \$22,000-25,000 range, widely considered a benchmark for developed nations. This follows from the current trend of growing inequality, only set to become more pronounced in the coming decades. The unemployment rate could consistently be in double digits by then. A recent Ox-fam report says that the top 1 per cent

of India's population accounts for 40 per cent of the country's wealth with the bottom half adding up to only 3 per cent. By 2047, this top layer could well own 60 per cent of the national wealth with the bottom half accounting for only 2 per cent. The gap gets wider, thus limiting recent gains on per capita income and pushing India at best to an upper middle income country status. That can be called improvement but would have fallen well short of our true potential. This is a vital metric to keep an eye on. The more GDP growth outstrips per capita income growth, the more unstable our growth story becomes.

Economic disparity is not the only reason for social instability though. Indian minorities, notably Muslims, are feeling marginalised, harassed and left behind. In another 25 years, India may have taken even greater strides towards a majoritarian Hindu state and this could have major fallouts in terms of large-scale civil unrest. This may sound alarmist, but the wind is blowing in that direction.

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